Corporate Lending Automation System

Intelligent Credit Assessment Platform

CREDIT ASSESSMENT REPORT

Application Number	CLA-20260812-00006
Company	Nusantara Trading Bhd
Registration No.	201802033445
Loan Amount Requested	RM 3,100,000
Loan Purpose	Debt Refinancing
Tenure	36 months
Pipeline Status	Approved
Preliminary Decision	APPROVED
Report Generated	2026-08-26 09:55 UTC

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1. Application Overview

Application No.	CLA-20260812-00006
Loan Amount	RM 3,100,000
Loan Purpose	Debt Refinancing
Tenure	36 months
Interest Rate Requested	—
Collateral Description	Not provided
Collateral Value	N/A
Current Status	Approved
Final Decision	APPROVED
Assigned Officer	Not assigned
Decision Reason	RECOMMENDATION: APPROVE — The composite risk score of 0.0/100 is in the 'Very Low' range. The XGBoost model estimates a 0.0% probability of default. This application represents a low-risk lending opportunity.

2. Company Profile

Company Name	Nusantara Trading Bhd
Registration Number	201802033445
Tax ID	—
GST Number	—
Company Type	Public Limited
Industry	Wholesale
Incorporation Date	2018-02-20
Country	Malaysia
Registered Address	Level 18, Menara Dagang, Jalan Ampang
City / State	Kuala Lumpur, Wilayah Persekutuan
Contact Email	treasury@nusantara-trading.com.my
Contact Phone	+60321615500
Annual Turnover	RM 126,000,000
Employees	540

3. Submitted Documents

#	Type	Filename	Financial Year	Size (KB)	Status
1	Balance Sheet	nusantara_fs_2025.pdf	2025	2.8	Extracted

4. Financial Data — OCR Extraction

Financial Metric	Extracted Value	Financial Metric	Extracted Value
Cash & Cash Equivalents	RM 7,776,192	**Cost of Revenue**	RM 99,540,000
EBIT	RM 11,340,000	**Short-term Debt**	—
EBITDA	—	**Accounts Payable**	RM 12,853,210
Shareholders' Equity	RM 96,213,600	**Interest Expense**	RM 1,814,400
Revenue / Turnover	RM 126,000,000	**Operating Profit**	RM 11,340,000
Inventory	RM 10,603,898	**Total Liabilities**	RM 48,686,400
Net Worth	—	**Accounts Receivable**	RM 14,845,457
Net Profit / PAT	RM 7,239,456	**Current Liabilities**	RM 26,777,520
Tax Expense	RM 2,286,144	**Financing Cash Flow**	RM 2,540,160
Gross Profit	RM 26,460,000	**Investing Cash Flow**	RM 7,560,000
Total Assets	RM 144,900,000	**Operating Cash Flow**	RM 11,649,456
Current Assets	RM 35,346,326	**Depreciation & Amortisation**	RM 4,410,000
Long-term Debt	—		

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5. Financial Ratios Analysis

Overall Financial Health: MODERATE

Ratio	Value	Unit	Risk Level	Benchmark	Interpretation
Debt Ratio	0.336	x	Low	0.3 – 0.6	Good: Debt Ratio of 0.34x. Balanced financing structure.
Quick Ratio	0.924	x	Medium	1 – 2	Moderate: Quick Ratio of 0.92x is approaching the 1:1 benchmark. Manageable but warrant...
Current Ratio	1.32	x	Medium	1.5 – 3	Acceptable: Current Ratio of 1.32x meets minimum requirements but leaves limited buffer...
Ebitda Margin	12.50%	%	Medium	12 – 30	Moderate: EBITDA Margin of 12.50%. Acceptable for most industries.
Asset Turnover	0.8696	x	Low	0.5 – 1.5	Good: Asset Turnover of 0.87x. Efficient use of asset base to generate revenue.
Cash Flow Ratio	0.435	x	Medium	0.5 – 1	Moderate: Cash Flow Ratio of 0.43x provides some coverage.
Working Capital	8,568,806	■	Low	—	Positive: Working Capital of ■8,568,806 provides a buffer for short-term operations.
Operating Margin	9.00%	%	Medium	10 – 25	Moderate: Operating Margin of 9.00%. Sufficient to service debt but minimal slack.
Return On Assets	5.00%	%	Low	5 – 15	Good: ROA of 5.00%. Assets employed efficiently.
Return On Equity	7.52%	%	Medium	10 – 25	Moderate: ROE of 7.52%. Marginal shareholder returns.
Debt Equity Ratio	0.506	x	Very Low	0.5 – 2	Excellent: Debt-Equity Ratio of 0.51x reflects conservative financing with equity domin...
Net Profit Margin	5.75%	%	Medium	5 – 20	Moderate: Net Profit Margin of 5.75%. Adequate for lending consideration with close mon...
Financial Leverage	1.506	x	Very Low	1.5 – 4	Excellent: Financial Leverage of 1.51x. Conservative use of debt financing.
Inventory Turnover	9.3871	x	Low	4 – 12	Good: Inventory Turnover of 9.39x. Efficient inventory management.
Current Asset Ratio	0.2439	x	Medium	0.3 – 0.6	Moderate: Current Asset Ratio of 0.24x is typical for asset-heavy industries.
Gross Profit Margin	21.00%	%	Medium	20 – 60	Moderate: Gross Profit Margin of 21.00%. Acceptable for trade/distribution businesses.
Receivable Turnover	8.4874	x	Low	6 – 15	Good: Receivable Turnover of 8.49x. Efficient debtor collection.
Interest Coverage Ratio	6.25	x	Very Low	2.5 – 5	Excellent: ICR of 6.25x. Strong earnings coverage for interest payments.
Operating Cash Flow Ratio	9.25%	%	Medium	10 – 25	Moderate: Operating Cash Flow Ratio of 9.25%.
Debt Service Coverage Ratio	3.7103	x	Very Low	1.25 – 2	Excellent: DSCR of 3.71x. Strong debt servicing capacity.

6. Rule Engine Evaluation

Verdict: PASS	Rules Evaluated: **11**	Rules Triggered: **0**	ML Pipeline: **Will Run**

Priority	Rule Name	Category	Metric Value	Threshold	Mandatory	Status	Action
10	**Minimum Current Ratio**	Liquidity	1.32	1	Yes	**PASS**	Reject
20	**Quick Ratio Floor**	Liquidity	0.924	0.5	Yes	**PASS**	Reject
30	**Maximum Debt-Equity Ratio**	Leverage	0.506	2.5	Yes	**PASS**	Reject
40	**Maximum Debt Ratio**	Leverage	0.336	0.8	No	**PASS**	Manual Review
50	**Positive Return on Assets**	Profitability	5	—	Yes	**PASS**	Reject
60	**Minimum Return on Equity**	Profitability	7.52	5	No	**PASS**	Manual Review
70	**Positive Net Profit Margin**	Profitability	5.75	—	Yes	**PASS**	Reject
80	**Minimum Interest Coverage Ratio**	Coverage	6.25	1.5	Yes	**PASS**	Reject
90	**Minimum Debt Service Coverage Ratio**	Coverage	3.7103	1.2	Yes	**PASS**	Reject
100	**Positive Operating Cash Flow**	Cash_Flow	9.25	—	Yes	**PASS**	Reject
110	**Positive Net Worth**	Solvency	1.506	10	Yes	**PASS**	Reject

7. ML Prediction & Risk Assessment

Model Used	Xgboost
Probability of Default	0.04%
Composite Risk Score	0.0 / 100
Risk Level	VERY LOW
Prediction Outcome	Low Risk

Risk Score Bar: [■■■■■■■■■■■■■■■■■■■■■■] 0.0%

Top Predictive Factors (SHAP Analysis):

Feature	SHAP Value	Direction
Borrowing dependency	-2.3492	↓ **Reduces Risk**
Non-industry income and expenditure/revenue	-1.3939	↓ **Reduces Risk**
Interest Coverage Ratio (Interest expense ...	-1.3506	↓ **Reduces Risk**
Operating Profit Rate	-1.2737	↓ **Reduces Risk**
ROA(C) before interest and depreciation be...	-1.0117	↓ **Reduces Risk**

Persistent EPS in the Last Four Seasons	-0.7921	↓ Reduces Risk
Degree of Financial Leverage (DFL)	+0.7528	↑ Increases Risk
Operating Gross Margin	-0.5637	↓ Reduces Risk
ROA(A) before interest and % after tax	-0.5564	↓ Reduces Risk
Operating profit per person	-0.4761	↓ Reduces Risk
Interest Expense Ratio	-0.4658	↓ Reduces Risk
Working Capital to Total Assets	-0.4234	↓ Reduces Risk

Model Explanation:

The XGBoost model assigns a low probability of default (0.0%), suggesting acceptable credit risk. Key factors increasing default risk: 'Degree of Financial Leverage (DFL)'. Mitigating factors reducing default risk: 'Borrowing dependency', 'Non-industry income and expenditure/revenue', 'Interest Coverage Ratio'.

Model Comparison (Training Evaluation):

Model	Accuracy	Precision	Recall	F1	ROC-AUC	CV ROC-AUC
Xgboost	0.918	0.254	0.795	0.385	0.914	0.996 ± 0.001
Random Forest	0.935	0.301	0.773	0.433	0.945	0.992 ± 0.002
Logistic Regression	0.886	0.200	0.841	0.323	0.934	0.951 ± 0.004

8. Credit Recommendation

RECOMMENDATION: APPROVE — The composite risk score of 0.0/100 is in the 'Very Low' range. The XGBoost model estimates a 0.0% probability of default. This application represents a low-risk lending opportunity.

9. Officer Notes

No officer notes recorded at the time of report generation.

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